FREE FINANCING REPORT

Mobile Home Park Financing Report

Why This Sector Attracts Increasingly Institutional Capital, What the 2026 Environment Looks Like, and the Metrics That Drive Approvals

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Why Sponsors Pursue Mobile Home Park Financing

Mobile home parks (manufactured housing communities) have become one of commercial real estate's most defensive property types, and 2026 is reinforcing that reputation with cap rate compression, exceptional resident retention, and structural supply constraints. That combination — durable, demographically driven demand for affordable housing, near-zero new supply, and rent growth that continues to outpace multifamily — is exactly why mobile home park financing continues to attract increasingly institutional capital.

- **Resident retention is dramatically stronger than apartments.** Mobile home park annual turnover runs approximately 2.2%, compared to roughly 47% for apartment buildings, reflecting the high cost residents face to relocate a home.
- **Occupancy has climbed steadily for a decade.** National manufactured housing community occupancy runs approximately 94% as of early 2026, up from 86.5% a decade prior.
- **Rent growth continues to outpace multifamily.** National average lot rents are growing 5% to 10% annually in many markets, compared to roughly 2% to 4% nationally for multifamily effective rents.
- **New supply is structurally constrained.** Fewer than 1,000 new manufactured housing community lots are being permitted nationally each year, due to zoning restrictions and infrastructure costs.
- **Cap rates are compressing on institutional demand.** The national average mobile home park cap rate ran approximately 5.9% in early 2026, down roughly 40 basis points from Q4 2024, with premium communities trading as low as 4.5% to 5.5%.

That said, current debt costs constrain achievable leverage more than in past cycles, and lenders remain selective about infrastructure condition, park-owned home exposure, and sponsor experience. Well-documented, professionally managed communities continue to attract the broadest and most competitive capital.

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2026 Market Outlook for Mobile Home Park Financing

Mobile home parks enter 2026 as one of commercial real estate's structurally tightest and most defensive sectors, with fundamentals strengthening even as financing costs constrain achievable leverage. The following figures outline where the market stands:

- Occupancy has reached a decade high: national manufactured housing community occupancy runs approximately 94% as of early 2026, up from 86.5% a decade prior, while comparable multifamily occupancy runs approximately 93.5% and is softer in several submarkets.

  Source: Requity Group, MHP Lot Rent Growth Report, 2026

- Lot rent growth continues to outpace multifamily by a wide margin: national average lot rents are increasing 5% to 10% annually in many markets (5.5% to 11% year-over-year in key Sun Belt and Midwest markets, and above 7% annually in Florida over the past three years), compared to roughly 2% to 4% nationally for multifamily effective rents.

  Source: Requity Group, 2026; Keel Team, Mobile Home Park Cap Rates, 2026

- Many legacy communities still have significant repricing runway: lot rents at many older, non-institutionally managed parks sit an estimated 30% to 50% below what the market could support, representing meaningful upside for professionally managed acquisitions.

  Source: Requity Group, 2026

- New supply remains structurally constrained: fewer than 1,000 new manufactured housing community lots are permitted nationally each year due to zoning restrictions and infrastructure costs, a stark contrast to the ongoing multifamily construction pipeline.

  Source: Requity Group, 2026

- Cap rates are compressing on strong institutional demand: the national average mobile home park cap rate ran approximately 5.9% in early 2026, down roughly 40 basis points from Q4 2024, with premium Class A communities (150+ lots, city utilities, metro-adjacent) trading at 4.5% to 5.5%, stabilized Class B communities at 5.5% to 7.0%, and value-add Class C communities at 7.0% to 10%-plus.

  Source: Keel Team, Mobile Home Park Cap Rates, 2026

- Financing remains available but leverage is more constrained than in recent years: agency (Fannie Mae/Freddie Mac) pricing runs roughly 6.25% to 7.25%, with a typical minimum 1.25x DSCR (some community banks accept 1.20x on stronger deals) limiting achievable leverage to roughly 55% loan-to-value at current debt costs, down from approximately 80% in 2021, with maximum agency leverage capped at 80% LTV where cash flow supports it.

  Source: Keel Team, DSCR & 2026 Underwriting Standards; SelectCommercial, August 2026

Bottom line for 2026: Mobile home parks continue to trade and finance like the defensive, supply-constrained asset class they have become — occupancy is at a decade high, resident turnover is a fraction of multifamily's, and rent growth keeps outpacing

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Critical Financing Metrics for Mobile Home Park Properties

Lenders in this space underwrite pad occupancy and infrastructure condition as closely as the income statement. The following metrics most often determine whether a request moves forward:

1. **Pad Occupancy and Rent Roll Quality**
   Trailing occupancy and the collectibility of the lot-rent roll. Property-level trend relative to the national benchmark matters most. ~94% national occupancy

2. **Lot Rent vs. Market Rent**
   In-place lot rents versus what the market could support. Many legacy communities carry meaningful upside. up to 30%–50% below market at legacy parks

3. **Infrastructure and Property Condition**
   The condition of roads, water, sewer, utilities, and common areas. Significant deferred infrastructure maintenance is one of the fastest ways to lose lender confidence.

4. **Percentage of Park-Owned Homes**
   Whether the community is a pure land-lease operation or carries a meaningful home-rental component, which changes the underwriting approach and often the leverage available.

5. **Sponsor and Operator Experience**
   Documented experience operating manufactured housing communities specifically, distinct from general multifamily experience.

6. **Debt Service Coverage Ratio (DSCR)**
   Net operating income measured against total annual debt service. 1.25x typical minimum

7. **Loan-to-Value**
   Achievable leverage is currently constrained by debt costs relative to in-place cash flow.
   ~55%–75% typical; up to 80% agency

These metrics form the practical filter that separates mobile home park financing requests that get funded from those that stall in underwriting.

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Practical Framework & Getting It Right the First Time

Pre-Submission Checklist

Before approaching lenders, confirm:

- [ ] Current pad rent roll showing occupancy, lot rents, and any home-rental income is organized
- [ ] Trailing 12-month operating statements are current
- [ ] Breakdown of income sources (lot rent vs. home rent vs. other) is documented
- [ ] Infrastructure and property condition summary is prepared
- [ ] Occupancy history and collection trends are ready
- [ ] Sponsor experience with manufactured housing communities is summarized
- [ ] Environmental and utility documentation is complete as applicable
- [ ] Existing debt schedule, entity documents, and guarantor/liquidity information are current

Common Reasons Mobile Home Park Financing Requests Underperform or Get Declined

- Missing or incomplete pad rent rolls
- Weak documentation of infrastructure condition
- High percentage of park-owned homes with weak home-rental performance
- Lack of relevant manufactured housing operating experience
- Submitting to lenders unfamiliar with land-lease community underwriting

Final Perspective

Mobile home park financing in 2026 sits inside a genuinely strong structural story — occupancy at a decade high, resident turnover a fraction of multifamily's, and rent growth that keeps outpacing apartments against a nearly frozen supply pipeline. But current debt costs mean achievable leverage is meaningfully more conservative than in recent years, and lenders remain selective about infrastructure condition and sponsor experience regardless of how favorable the sector backdrop looks.

High-level knowledge of how these loans work is valuable. Turning that knowledge into a funded transaction still requires the right preparation and the right lending relationships.

Getting it right the first time matters. Incomplete pad rent rolls, weak infrastructure documentation, and mismatched lenders are among the most common reasons otherwise solid mobile home park financing requests lose time, money, and momentum.

YOUR NEXT STEP

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